Investec

Investec Bank plc (UK)

Kaynes Technology (KAYN.NS)

India | Industrials

Company Research

27 November 2025 11:06 HKT

SELL

Price: INR5,773

Target: INR5,760

Forecast Total Return: -0.2%

Market Cap: INR387bn

EV: INR391bn

Average daily volume: 706k

FY25 ARA/ H1 results/ management meet: Multiple concerns

Based on our FY25 AR/ subs AR analysis, H1 results and management meeting, we highlight three concerning trends: a) weak performance of the core business, with growth led by Iskraemeco (acquired smart meter business); b) WCap troubles and c) limited investments so far in OSAT/ PCB. SELL stays.

- **Growth, margins driven by Iskraemeco in the past 4Qs.** Kaynes started consolidating Iskraemeco (smart metering) from 3QFY25 onwards. In FY25, Iskraemeco's revs rose 10x, with H2 accounting for the bulk. Whilst the entity posted PAT of only Rs6m for FY25, its H2 PAT was at c.Rs500m (c.30% to Kaynes' consol H2 FY25 PAT!). Even in H1 FY26, Iskraemeco generated revs >Rs4.5bn (c.30% of Kaynes consol revs), with margins being sharply higher than company avg. This raises two questions -- first, revenue growth of the core EMS business (excluding Iskraemeco) has been only c.20% in FY25 and only c.5% in H1 FY26. Management attributed this to slowdown in most EMS verticals. With Iskraemeco already in the base in H2, can rev growth moderate in H2 FY26? Second, the smart metering business entails high WC (Genus operates at 275+ days) and thus stocks trade at relatively low val multiples (Genus/HPL trade at 21x/28x TTM PE). Should Kaynes' smart metering business be given elevated multiples as its core EMS business?
- **WCap balloons.** Past three quarters' results raise multiple concerns: **a)** Debtors rose from Rs5.7bn at the end of FY25 to Rs11.2bn at the end of H1 FY26, despite quarterly rev run-rate remaining broadly the same b/w 4QFY25 and 2QFY26; **b)** Kaynes created a provision for doubtful debt of Rs550m in H1, 10% of o/s debtors at the end of FY25; and **c)** these debtors do not include deferred receivables of Iskraemeco (Rs2.3bn now vs >Rs3bn originally), which the company is looking to discount (>Rs1bn receivables were already discounted at FY25-end).
- **Limited capex for OSAT/ bare PCB businesses.** By H1 FY26, Kaynes has infused only Rs1.5bn/ Rs3.8bn equity in bare PCB (multi-layer)/ OSAT and has not yet received government subsidy. This looks low in respect of project costs of Rs14bn/ Rs34bn respectively. In addition, Kaynes is looking to invest Rs17bn in flex/ HDI PCBs, Rs17bn in copper clad laminates and Rs3bn for camera modules in the next few yrs, funded through a mix of equity, debt, govt subsidies and internal accruals. Should the co fail to bring down its w-cap or there be delay in receiving subsidies, it may need to raise funds again.
- **Maintain SELL.** In view of the weak performance of the base EMS business and deteriorating BS, we find Kaynes' core FY27 PE of 55x rich. SELL stays.

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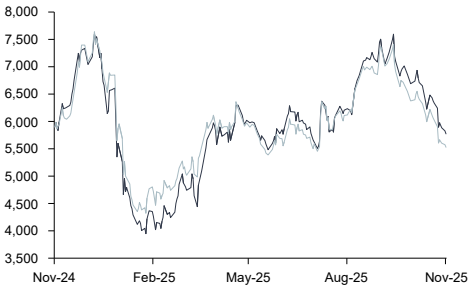
Financials and valuation — Year end: 31 March

	2024A	2025A	2026E	2027E	2028E
Revenue (INRm)	18,046	27,218	40,251	69,355	91,550
EBITDA (INRm)	2,542	4,107	6,561	10,399	14,068
EBITA (INRm)	2,290	3,660	5,889	8,409	11,874
PBT (normalised) (INRm)	2,316	3,716	5,867	7,466	10,629
Net Income (normalised) (INRm)	1,830	2,932	4,632	5,870	8,368
EPS (norm. cont.) - FD (INR)	28.6	45.8	69.2	87.7	125.0
FCFPS - FD (INR)	(52.5)	(174.7)	(272.1)	(25.1)	(27.2)
DPS (INR)	0.0	0.0	0.0	0.0	0.0
PE (normalised) (x)	201.6	126.2	83.4	65.9	46.2
EV/sales (x)	19.7	13.5	9.7	5.7	4.3
EV/EBITDA (x)	140.0	89.4	59.6	37.8	28.2
FCF yield (%)	(0.9)	(3.0)	(4.7)	(0.4)	(0.5)
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0

Source: Company accounts, Investec Equities estimates

Price Performance



	1m	3m	12m
Price	(13.7)	(7.4)	(2.1)

Source: FactSet

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Growth driven from subsidiaries/ Iskraemeko

Figure 1: Reconciliation of standalone and subs performance with consol over quarters: Subs have driven performance in the last 4 quarters

Rsm	1QFY24	2QFY24	3QFY24	4QFY24	1QFY25	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26
Revenues										
Standalone	2,906	2,915	3,172	3,746	3,502	4,328	3,959	7,365	4,508	4,671
Subs	66	693	1,921	2,627	1,538	1,393	2,653	2,479	2,226	4,391
Consol Revs	**2,972**	**3,608**	**5,093**	**6,373**	**5,040**	**5,721**	**6,612**	**9,845**	**6,735**	**9,062**
Revenues (% YoY)										
Standalone					20.5	48.5	24.8	96.6	28.7	7.9
Subs					NA	101.0	38.1	(5.6)	44.7	215.3
Consol Revs					**69.6**	**58.5**	**29.8**	**54.5**	**33.6**	**58.4**
Gross Profit (Rsm)										
Standalone	864	869	888	1,003	1,016	1,326	1,133	1,707	1,270	1,179
Subs	51	137	351	584	360	323	906	1,451	1,508	1,870
Consol gross profit	**915**	**1,006**	**1,239**	**1,587**	**1,376**	**1,648**	**2,038**	**3,158**	**2,779**	**3,049**
Gross margins (%)										
Standalone	29.7	29.8	28.0	26.8	29.0	30.6	28.6	23.2	28.2	25.2
Subs	78.1	19.7	18.3	22.2	23.4	23.2	34.1	58.5	67.7	42.6
Consol gross margins	**30.8**	**27.9**	**24.3**	**24.9**	**27.3**	**28.8**	**30.8**	**32.1**	**41.3**	**33.6**
EBITDA (Rsm)										
Standalone	394	386	417	518	483	730	486	837	655	632
Subs	8	102	282	435	186	92	454	841	476	848
Consol EBITDA	**403**	**488**	**699**	**952**	**669**	**821**	**940**	**1,679**	**1,130**	**1,480**
EBITDA margins (%)										
Standalone	13.6	13.2	13.1	13.8	13.8	16.9	12.3	11.4	14.5	13.5
Subs	12.8	14.7	14.7	16.5	12.1	6.6	17.1	33.9	21.4	19.3
Consol EBITDA margins	**13.5**	**13.5**	**13.7**	**14.9**	**13.3**	**14.4**	**14.2**	**17.1**	**16.8**	**16.3**
PAT (Rsm)										
Standalone	252	255	258	497	485	626	380	604	543	629
Subs	(5)	68	194	316	23	(24)	284	558	203	585
Consol PAT	**246**	**323**	**452**	**813**	**508**	**602**	**665**	**1,162**	**746**	**1,214**

Note: Subs here is considered as the difference between consolidated and standalone financials. Source: Companies, Investec Securities research

Figure 2: Reconciliation between standalone and consol PAT: Significant contribution from Iskraemeco in FY25

Rsm	FY24	FY25	Comments
Standalone PAT	1,261	2,099	
Profits/ (loss) from subs			
Kaynes International Design and Mfg Pvt Ltd	54	52	
Kemsys Technologies Pvt Ltd	(4)	(12)	
Kaynes Electronics Manufacturing Pvt Ltd	520	507	This entity houses Chamarajanagar manufacturing facility
Kaynes Semicon Pvt Ltd	(3)	(118)	
Kaynes Circuits India Pvt Ltd	(0)	(26)	
Kaynes Mechatronics Pvt Ltd	3	(6)	
Iskraemeco India Pvt Ltd	-	489	Whilst the entity posted PAT of only Rs6m for FY25, its H2 PAT stood at c.Rs500m (c.30% to Kaynes' consol H2 FY25 PAT)
Kaynes Technology Europe GmbH	(1)	-	
Digicom Electronics Inc.	-	28	
Sensonic Group	-	(169)	
Essnkay Electronics LLC	-	2	
Others/ inter-company	4	89	
Consol PAT	1,833	2,934	

Source: Companies, Investec Securities research

Figure 3: Snapshot of Iskraemco's financials: In FY25, Iskraemeco generated only Rs6m PAT, with losses in H1 and Rs489m PAT in H2 (which got consolidated)

Rsm	FY24	FY25
Summary income statement		
Revenues	**653**	**6,179**
% YoY	-	846.5
EBITDA	**130**	**163**
EBITDA Margins (%)	19.9	2.6
PAT	**103**	**6**
Balance Sheet		
Liabilities		
Shareholder's Funds	103	6
Total debt	412	747
Lease Liabilities/ Deferred taxes	(0)	39
Total Liabilities	**412**	**1,134**
Assets		
Net assets	128	1,011
CWIP	202	565
Cash/Bank	161	35
Net working capital	(79)	(477)
Total Assets	**412**	**1,134**

Source: Companies, Investec Securities research

Figure 4: Corporate guarantees in respect of subsidiaries has risen sharply, as visible from contingent liabilities

Rsm	FY20	FY21	FY22	FY23	FY24	FY25
Claims by Tax Authorities	170	27	72	125	85	189
Bank Guarantees for contractual performance	16	20	69	69	67	1,040
LoC issued by Bank	13	6	3	6	7	0
Bond Executed for Customs/ Central Excise	288	248	273	450	470	726
On account of bills discounted by banks	-	171	471	521	1,161	1,147
Corporate guarantee to subsidiary	20	24	44	84	784	2,106
Others	-	11	11	-	-	
Total	**507**	**507**	**943**	**1,255**	**2,573**	**5,207**

Source: Companies, Investec Securities research

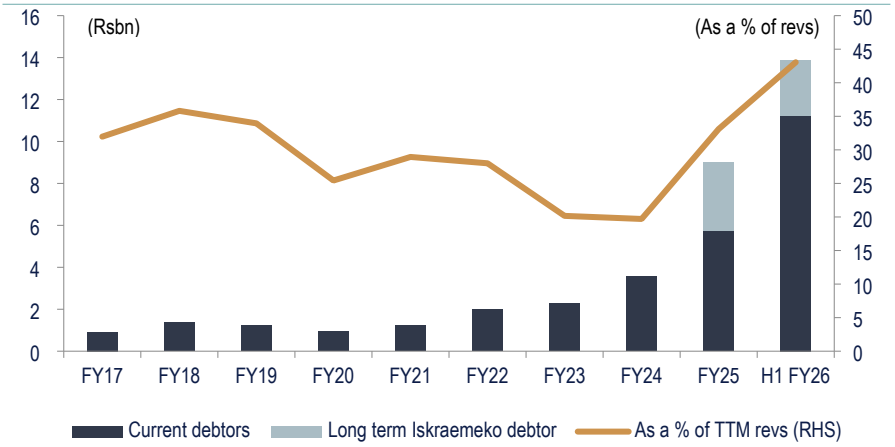
W-Cap rise sharply

Figure 5: Kaynes' working capital days (as reported by the co) rose sharply. This excludes Rs4bn of long term Iskraemeko receivables

Days	3QFY23	4QFY23	1QFY24	2QFY24	3QFY24	4QFY24	1QFY25	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26
Inventory	115	104	133	134	120	97	113	107	116	91	115	104
Receivable	98	69	64	60	65	59	80	75	73	84	145	131
Payable	94	73	77	76	68	73	72	74	81	88	128	119
Net Working Cap	**119**	**100**	**120**	**118**	**117**	**83**	**121**	**108**	**108**	**87**	**132**	**116**

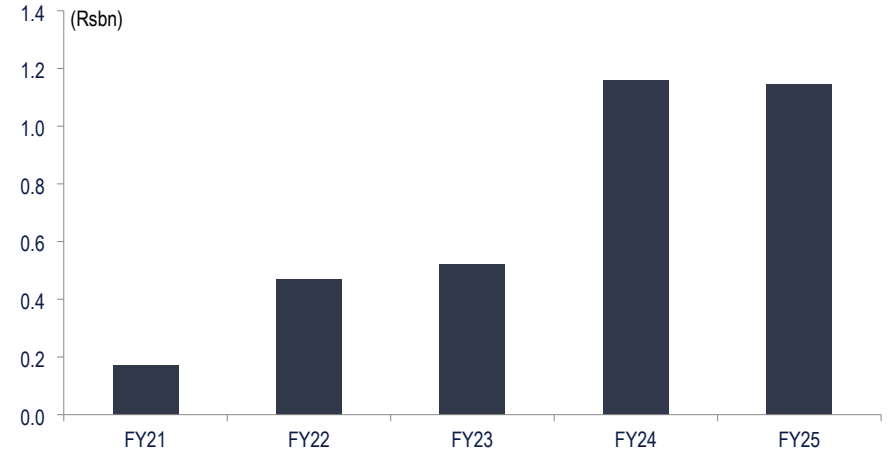
Source: Company, Investec Securities research

Figure 6: Kaynes' receivables have risen sharply in the last 6-9 months



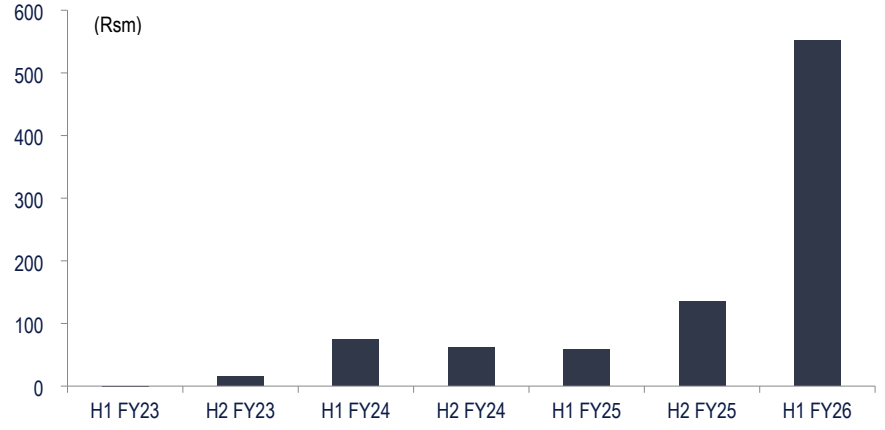
Source: Company, Investec securities research

Figure 7: Kaynes' debtors channel financed over years: Channel financing could increase sharply in H2 FY26 as Kaynes discounts Iskraemeco's deferred receivables



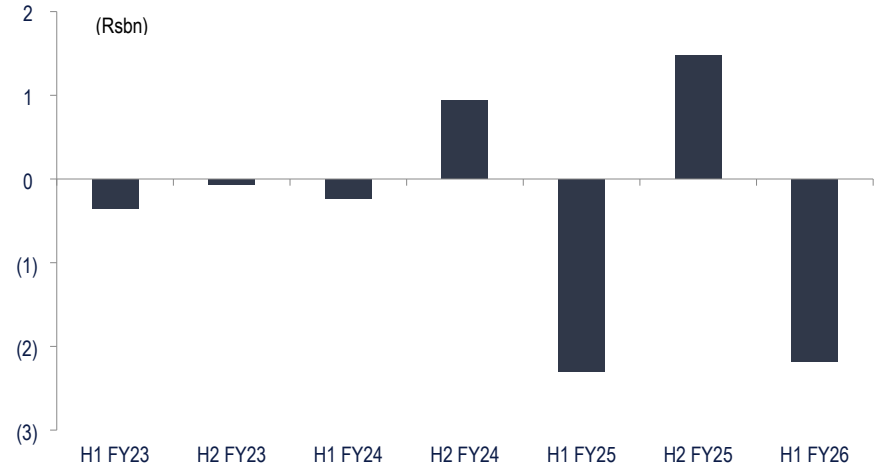
Source: Company, Investec securities research

Figure 8: Kaynes' created Rs550m of provisions for doubtful debts in H1 FY26



Source: Company, Investec securities research

Figure 9: Kaynes' historical OCF performance



Source: Company, Investec securities research

Investments in new businesses

Figure 10: Kaynes' equity investments in OSAT/ Bare PCB over the quarters

Rsm	3QFY24	4QFY24	1QFY25	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26
Amount spent during the qtr								
OSAT	510	215	1,025	271	23	729	357	646
Bare PCB	-	-	-	-	-	862	280	351
Total	**510**	**215**	**1,025**	**271**	**23**	**1,592**	**637**	**997**
Amount cumulatively spent till date								
OSAT	510	725	1,750	2,022	2,045	2,774	3,131	3,777
Bare PCB	-	-	-	-	-	862	1,143	1,494
Total	**510**	**725**	**1,750**	**2,022**	**2,045**	**3,636**	**4,274**	**5,271**

Source: Company, Investec Securities research

Figure 11: About Kaynes' new businesses: Significant investments required

Particulars	Investment required (Rsbn)	Comments
OSAT	33-34	• Kaynes intends to invest >Rs30bn in setting up OSAT facility (legacy and advanced packaging). • This investment is approved under the ISM scheme, wherein the co will receive support from central govt for 50% of capex on pari passu basis. • The company has only spend <Rs4bn on this project and has not received any capital subsidy from the Central govt yet. • Earlier, Kaynes had partnered with Globetronics and subsequently, AOI for technology - both of which are under financial stress. Even its current tech partner, AOS, is facing some financial constraints.
Bare PCB, Chennai (multi-layer)	14.0	• Bare PCB investment was approved under SPECS scheme, with 25% capital incentive by the Central Govt. In addition, the co was also to receive capital subsidy from the State Govt. • Now with SPECS subsumed into ECMS scheme, details on incentives to be received by Kaynes are unclear.
Bare PCB, Tuticorin (flex / HDI)	16.9	• Kaynes is setting up HDI and Flex PCB manufacturing facility at Tuticorin, which has been approved under the ECMS scheme. • The co will receive 25% capital subsidy and 4-8% turnover linked incentives over 6 yr period under the ECMS. In addition, the co will also receive state incentives. • Construction of facility is likely to commence post commissioning of Phase I of bare PCB plant at Chennai.
Copper Clad Laminates	17.0	• The project received approval under ECMS from MeITY in Oct-25. Majority of the output is likely to be consumed internally (for bare PCB mfg). • Kaynes will receive capex incentive of 25% under the ECMS. In addition, the co is eligible for certain incentives from Tamil Nadu State govt as well. • The company is expected to commence capex on this project from FY27E, with bulk of the Rs17bn spend happening over FY26E-27E.
Camera Modules	3.3	• The project received approval under ECMS from MeITY in Oct-25. • Kaynes is eligible for revenue linked incentives of 2-5% over a 6-year period. • The facility is expected to be commissioned in FY28E. • Kaynes is likely to cater to automotive and industrial customers.

Source: Company, Investec Securities research

Summary financials

Figure 12: Kaynes Technologies' summary financials

(Rsm)	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Net consol revenues	**3,794**	**3,642**	**3,682**	**4,206**	**7,062**	**11,261**	**18,046**	**27,218**	**40,251**	**69,355**	**91,550**
Base business	3,794	3,642	3,682	4,206	7,062	11,261	18,046	27,218	40,251	54,672	71,779
OSAT								-	-	7,933	11,333
Bare PCB									-	6,750	8,438
Consol revenue growth (% YoY)		**(4.0)**	**1.1**	**14.2**	**67.9**	**59.4**	**60.3**	**50.8**	**47.9**	**72.3**	**32.0**
Consol gross profit	**1,227**	**1,225**	**1,266**	**1,345**	**2,168**	**3,460**	**4,747**	**8,220**	**13,766**	**22,681**	**29,821**
Base business	1,227	1,225	1,266	1,345	2,168	3,460	4,747	8,220	13,766	18,042	23,328
OSAT								-	-	2,142	3,287
Bare PCB									-	2,498	3,206
Consol gross profit margins (%)	**32.3**	**33.6**	**34.4**	**32.0**	**30.7**	**30.7**	**26.3**	**30.2**	**34.2**	**32.7**	**32.6**
Base business	32.3	33.6	34.4	32.0	30.7	30.7	26.3	30.2	34.2	33.0	32.5
OSAT										27.0	29.0
Bare PCB										37.0	38.0
Consol EBITDA	**379**	**351**	**413**	**409**	**937**	**1,683**	**2,542**	**4,107**	**6,561**	**10,399**	**14,068**
Base business	379	351	413	409	937	1,683	2,542	4,107	6,561	8,994	11,772
OSAT	-	-	-	-	-	-	-	-	-	595	1,163
Bare PCB	-	-	-	-	-	-	-	-	-	810	1,134
Consol EBITDA margins (%)	**10.0**	**9.6**	**11.2**	**9.7**	**13.3**	**14.9**	**14.1**	**15.1**	**16.3**	**15.0**	**15.4**
Base business	10.0	9.6	11.2	9.7	13.3	14.9	14.1	15.1	16.3	16.5	16.4
OSAT										7.5	10.3
Bare PCB										12.0	13.4
Consol EBIT	**332**	**300**	**330**	**308**	**805**	**1,496**	**2,290**	**3,660**	**5,889**	**8,409**	**11,874**
Base business	332	300	330	308	805	1,496	2,290	3,660	5,889	8,150	10,747
OSAT	-	-	-	-	-	-	-	-	-	(238)	318
Bare PCB	-	-	-	-	-	-	-	-	-	497	810
Consol EBIT margins (%)	**8.8**	**8.2**	**8.9**	**7.3**	**11.4**	**13.3**	**12.7**	**13.4**	**14.6**	**12.1**	**13.0**
Base business	8.8	8.2	8.9	7.3	11.4	13.3	12.7	13.4	14.6	14.9	15.0
OSAT										(3.0)	2.8
Bare PCB										7.4	9.6
Consol PBT	**235**	**135**	**113**	**109**	**590**	**1,260**	**2,316**	**3,716**	**5,867**	**7,466**	**10,629**
Base business	235	135	113	109	590	1,260	2,316	3,716	5,867	7,506	9,845
OSAT	-	-	-	-	-	-	-	-	-	(440)	103
Bare PCB	-	-	-	-	-	-	-	-	-	400	681
Tax	**(76)**	**(40)**	**(19)**	**(11)**	**(174)**	**(308)**	**(483)**	**(782)**	**(1,232)**	**(1,677)**	**(2,239)**
Consol PAT	**159**	**95**	**94**	**97**	**417**	**952**	**1,833**	**2,934**	**4,635**	**5,788**	**8,390**
Base business	159	95	94	97	417	952	1,833	2,934	4,635	5,929	7,778
OSAT	-	-	-	-	-	-	-	-	-	(440)	103
Bare PCB	-	-	-	-	-	-	-	-	-	299	509
Minority interest	**-**	**-**	**1**	**(4)**	**(2)**	**(2)**	**(3)**	**(2)**	**(2)**	**81**	**(22)**
Consol PAT post Minority Interest	**159**	**95**	**95**	**94**	**414**	**950**	**1,830**	**2,932**	**4,632**	**5,870**	**8,368**
Base business	159	95	95	94	414	950	1,830	2,932	4,632	5,929	7,778
OSAT	-	-	-	-	-	-	-	-	-	(359)	81
Bare PCB	-	-	-	-	-	-	-	-	-	299	509

Source: Investec Securities estimates

Summary Financials (INRm)

Year end: 31 March

Income Statement	2024	2025	2026E	2027E	2028E
Revenue	**18,046**	**27,218**	**40,251**	**69,355**	**91,550**
EBITDA	**2,542**	**4,107**	**6,561**	**10,399**	**14,068**
Depreciation and amortisation	(251)	(447)	(672)	(1,990)	(2,194)
Operating profit	**2,290**	**3,660**	**5,889**	**8,409**	**11,874**
Other income	559	1,070	972	300	328
Net interest	(534)	(1,013)	(994)	(1,243)	(1,573)
Share-based-payments	-	-	-	-	-
PBT (normalised)	**2,316**	**3,716**	**5,867**	**7,466**	**10,629**
Impairment of acquired intangibles	-	-	-	-	-
Non-recurring items/exceptionals	-	-	-	-	-
PBT (reported)	**2,316**	**3,716**	**5,867**	**7,466**	**10,629**
Taxation	(483)	(782)	(1,232)	(1,677)	(2,239)
Minorities & preference dividends	0	0	0	0	0
Discontinued/assets held for sale	0	0	0	0	0
Net Income (normalised)	1,830	2,932	4,632	5,870	8,368
Attributable profit	1,833	2,934	4,635	5,788	8,390
EPS (reported)	28.7	45.8	69.2	86.5	125.3
EPS (norm., cont.) – FD (INR)	28.6	45.8	69.2	87.7	125.0
EPS (norm., cont., IAS19R adj.) – FD	28.6	45.8	69.2	87.7	125.0
DPS (INR)	0.0	0.0	0.0	0.0	0.0
Average number of group shares - FD (m)	64	64	67	67	67
Average number of group shares (m)	64	64	67	67	67
Total number of shares in issue (m)	64	64	67	67	67

Cash Flow	2024	2025	2026E	2027E	2028E
Operating profit	**2,290**	**3,660**	**5,889**	**8,409**	**11,874**
Depreciation & amortisation	251	447	672	1,990	2,194
Other cash and non-cash movements	(578)	(1,058)	(976)	(512)	(590)
Change in working capital	(1,572)	(4,589)	(10,229)	(4,464)	(6,311)
Operating cash flow	**417**	**(1,483)**	**(4,667)**	**4,480**	**5,922**
Interest	534	1,013	994	1,243	1,573
Tax paid	(458)	(782)	(1,232)	(1,677)	(2,239)
Dividends from associates and JVs	-	-	-	-	-
Cash flow from operations	**492**	**(1,252)**	**(4,905)**	**4,046**	**5,256**
Maintenance capex	(3,848)	(9,945)	(13,314)	(5,725)	(7,075)
Free cash flow	**(3,356)**	**(11,197)**	**(18,219)**	**(1,679)**	**(1,819)**
Expansionary capex	-	-	-	-	-
Exceptionals and discontinued operations	-	-	-	-	-
Other financials	(275)	825	10,929	(734)	(985)
Acquisitions	-	-	-	-	-
Disposals	-	-	-	-	-
Net share issues	13,378	0	0	0	0
Dividends paid	0	0	0	0	0
Change in net cash	**9,747**	**(10,372)**	**(7,291)**	**(2,413)**	**(2,804)**
Net cash/(debt)	13,241	2,869	(4,422)	(6,835)	(9,639)
FCFPS - FD (INR)	(52.5)	(174.7)	(272.1)	(25.1)	(27.2)

Balance Sheet	2024	2025	2026E	2027E	2028E
Property plant and equipment	5,000	13,353	25,996	29,731	34,612
Intangible assets	335	1,470	1,470	1,470	1,470
Investments and other non current assets	271	263	5,064	5,064	5,064
Cash and equivalents	16,302	11,624	3,093	2,873	3,283
Other current assets	10,743	19,702	32,362	39,613	48,765
Total assets	**32,652**	**46,412**	**67,985**	**78,751**	**93,194**
Total debt	(3,061)	(8,755)	(7,515)	(9,708)	(12,921)
Preference shares	0	0	0	0	0
Other long term liabilities	(755)	(1,855)	(2,743)	(4,727)	(6,239)
Provisions & other current liabilities	(3,685)	(6,955)	(8,497)	(9,301)	(10,630)
Pension deficit and other adjustments	(266)	(405)	(405)	(405)	(405)
Total liabilities	**(7,767)**	**(17,970)**	**(19,160)**	**(24,140)**	**(30,196)**
Net assets	**24,885**	**28,442**	**48,825**	**54,611**	**62,998**
Shareholder's equity	24,869	28,403	48,785	54,655	63,022
Minority interests	16	40	37	(44)	(22)
Total equity	**24,885**	**28,442**	**48,822**	**54,611**	**63,001**
Net working capital	7,059	12,747	23,865	30,312	38,135
NAV per share (INR)	389.3	443.8	729.2	815.6	940.9

Source: Company accounts, Investec Equities estimates

Calendarised Valuation

Year end: 31 March

	2024	2025	2026E	2027E
Calendar PE (x)	138.8	91.0	69.5	50.0
Calendar Price/NAVPS (x)	13.4	8.8	7.3	6.4
EV/sales (x)	14.6	10.4	6.3	4.6
EV/EBITDA (x)	98.0	64.7	41.6	30.0
FCF yield (%)	(2.5)	(4.3)	(1.5)	(0.5)
Dividend yield (%)	0.0	0.0	0.0	0.0

Source: Company accounts, Investec Equities estimates

Ratios and Metrics

Year end: 31 March

Ratios and metrics	2024	2025	2026E	2027E	2028E
Revenue growth (y-on-y) (%)	60.3	50.8	47.9	72.3	32.0
EBITDA growth (y-on-y) (%)	51.0	61.6	59.7	58.5	35.3
Net income (normalised) growth (yoy)	92.6	60.2	58.0	26.7	42.6
EPS (normalised) growth (y-on-y) (%)	74.8	59.8	51.2	26.7	42.6
FCFPS growth (y-on-y) (%)					
NAVPS growth (y-on-y) (%)	135.1	14.0	64.3	11.9	15.4
DPS growth (y-on-y) (%)	-	-	-	-	-
Interest cover (x)	4.3	3.6	5.9	6.8	7.5
Net debt/EBITDA (x)	(5.2)	(0.7)	0.7	0.7	0.7
Net debt/equity (%)	(53.2)	(10.1)	9.1	12.5	15.3
Net gearing (%)	(113.7)	(11.2)	8.3	11.1	13.3
Dividend cover (x)	n.m.	n.m.	n.m.	n.m.	n.m.
EBITDA margin (%)	14.1	15.1	16.3	15.0	15.4
EBITA margin (%)	12.7	13.4	14.6	12.1	13.0
ROE (%)	7.4	10.3	9.5	10.7	13.3
ROCE (%)	8.8	11.9	11.3	14.0	17.0
NWC/revenue (%)	39.1	46.8	59.3	43.7	41.7
Tax rate (normalised) (%)	20.8	21.0	21.0	22.5	21.1
Tax rate (reported) (%)	20.8	21.0	21.0	22.5	21.1

Source: Company accounts, Investec Equities estimates

Target Price Basis

SOTP

Key Risks

Stronger than expected demand, sharper than expected margin improvement

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	Expected total return 12m performance	All stocks Count	All stocks % of total	Corporate stocks Count	Corporate stocks % of total
Buy	greater than 10%	256	77%	83	32%
Hold	0% to 10%	62	19%	0	0%
Sell	less than 0%	14	4%	0	0%

Source: Investec Equities estimates

Stock ratings for Indian stocks — Stock ratings for research produced by Investec Bank plc

	Expected total return 12m performance	All stocks Count	All stocks % of total	Corporate stocks Count	Corporate stocks % of total
Buy	greater than 15%	184	60%	0	0%
Hold	5% to 15%	82	27%	0	0%
Sell	less than 5%	41	13%	0	0%

Source: Investec Equities estimates

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Buy	greater than 15%	49	58%	18	37%
Hold	5% to 15%	29	35%	5	17%
Sell	less than 5%	6	7%	1	17%

Source: Investec Equities estimates

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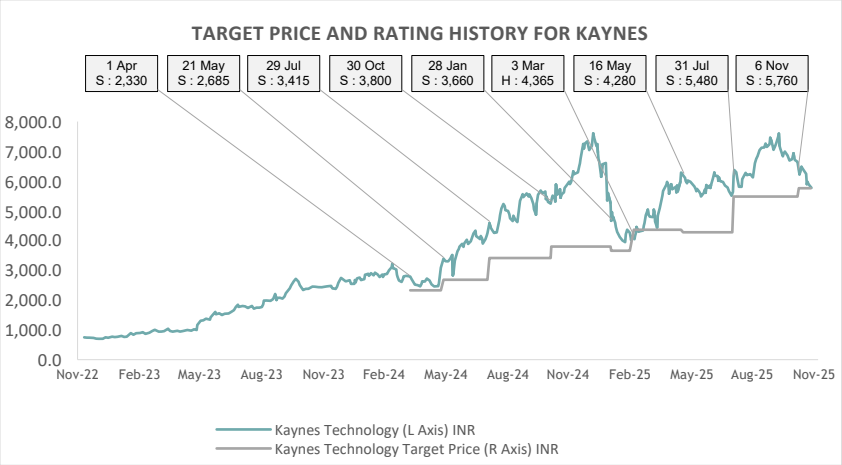

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